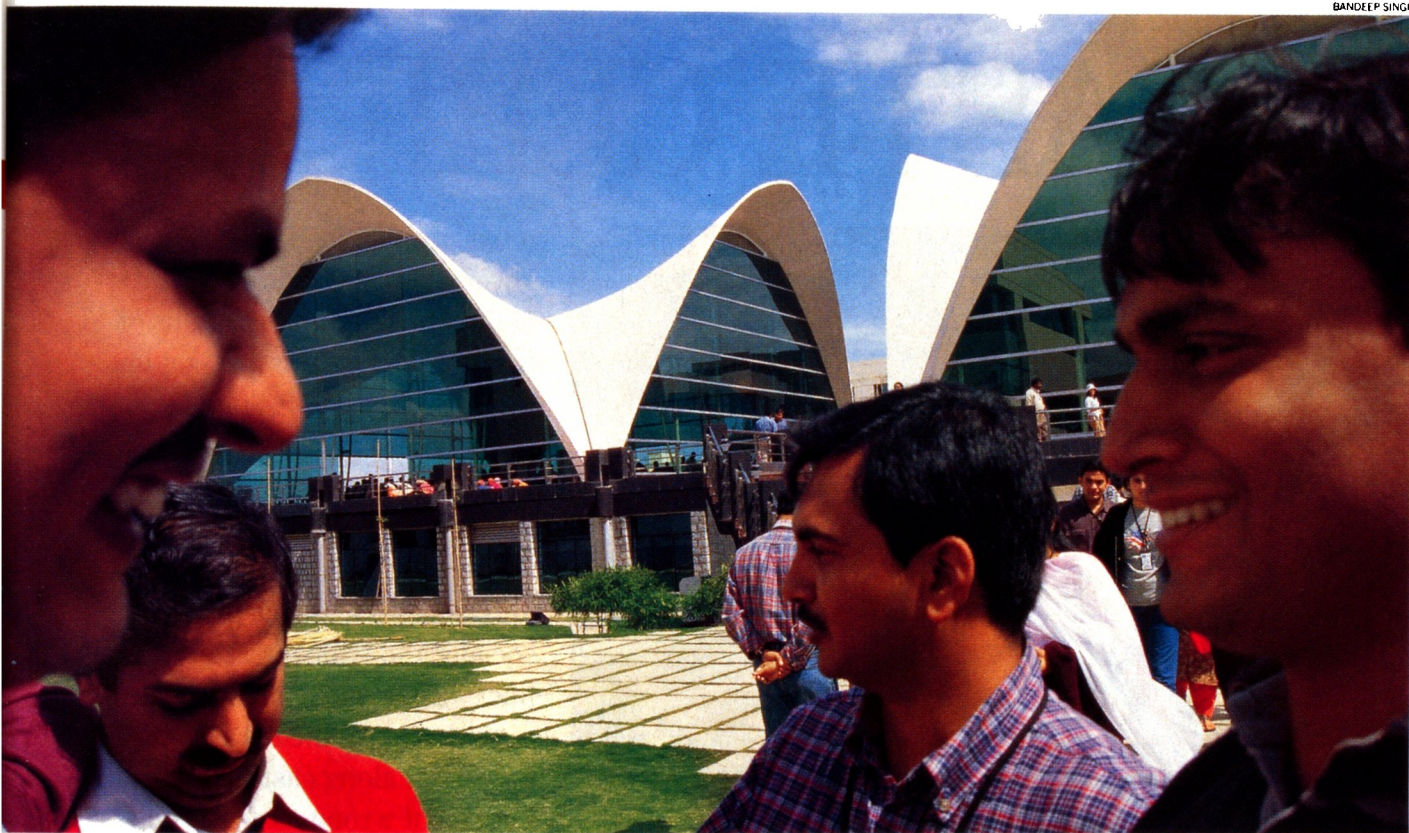




American nations that had undertaken similar reforms in the 1960s and 1970s and plunged into crisis and political instability. For one, cutting deals with multinationals is a challenging task. The contracts can run into hundreds of pages and a nation that ventures in to this before acquiring the necessary expertise can end up unwittingly losing more than it gains. History is replete with instances of such 'voluntary' impoverishment.

Finally, I consider the 1990s to be a decade of critical political and social change. In global politics, India has come to occupy a strategic space that it never had before. With the rise of China and the decline of Russia, it is now evident that the US and China confront a future where they will either have to live with a bilateral face-off or have the comforting presence of a third pole, which India can provide. This is in the interest of both China and the US and an advantage handed to India on a platter. India has also come to occupy a critical space, beyond its own making, in America's anti-terrorism strategy.

Even more importantly, this was a decade of critical social change. It saw the rise of a new class of honourable people (albeit still very few) in business and politics. In the psyche of middle-class India, 'business' has long been a dirty word. The arrival of people like N.R. Narayana Murthy of Infosys sent a message to a whole generation of youngsters that to be an entrepreneur one does not have to be corrupt and a money-hawk. In politics, Manmohan Singh represented a rare combination of intelligence and

personal integrity.

New research in economics shows that one important trait that helps a nation or a community prosper economically, is trust. Cross-country studies suggest that nations where citizens are known to be trustworthy tend to do better. The reason is not difficult to see. Not every deal and contract in life can be enforced by the courts and the police (certainly not our police). Hence, when we cut deals relating to trade, we often have to rely on the expected innate integrity and trust-worthiness of people. On the flip side, being trustworthy means having to give up some quick short-term gains, but one can expect to do better in the long-run. Hence, trustworthiness and integrity are forms of 'social' investment. One foregoes immediate gains but benefits in the long run. With the rise in this kind of investment, one can hope for not only more economic development, but also a decline in corruption.

India's financial investment is on the rise—we have data on this. My belief is that even our social investment (in being more dependable and trustworthy) is on the rise, though, admittedly, it is difficult to produce hard data on this. The trend was started in the 1990s. And if my conjecture is right, the benefits of this will accrue for many decades to come.

*The author is Professor of Economics and Director, Centre of Analytic Economics, Cornell University. He is currently based in Delhi at the Indian Statistical Institute and the Delhi School of Economics.*